

Research Seminar

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Thesis

Title: Western Sanctions, Russian Resilience, and the Failure of Deterrence in 2022

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Introduction

The prohibition on the use of force, codified in Article 2(4) of the United Nations Charter, stands as the bedrock of the post-1945 international order. Its enforcement, however, relies less on normative consensus and more on the credible threat of consequences. In the months preceding Russia's full-scale invasion of Ukraine in February 2022, Western powers engaged in a high-stakes campaign of coercive diplomacy¹. The core of this deterrent was the threat of overwhelming economic statecraft—measures intended to isolate Russia from the global economy and make the costs of aggression prohibitively high.

Yet, on February 24, 2022, deterrence failed. Russia initiated the biggest traditional conflict in Europe since 1945, apparently unconcerned by the West's financial demand. Today, Russia has become the most sanctioned jurisdiction in history, subject to over 25,000 active restrictions². This outcome presents a profound paradox: if the threatened economic pain was severe enough to theoretically cripple a G20 economy, why did it fail to alter the target's cost-benefit calculus? Why did the Kremlin discount the credibility of these existential threats?

To examine this breakdown, this study utilizes a qualitative procedure-tracking approach. This method goes past mere connection to reveal the particular driving forces that connected the Western warning to the Russian choice. The examination centers on the crucial judgment timeframe starting from the enforcement of restricted penalties succeeding the seizure of Crimea in 2014 until the total assault in February 2022. By following this progression, the inquiry intends to identify the instances where Western cues (e.g., fuel exemptions) and Russian capacities (e.g., the creation of SPFS) combined to change the tactical evaluation. The proof foundation merges numerical financial figures—comprising central bank savings buildup and commerce movement records from Castellum.ai and the IMF—with qualitative assessment of leadership rhetoric. This

¹ Jack S. Levy, "Deterrence and Coercive Diplomacy: The Contributions of Alexander George," *Political Psychology* 29, no. 4 (August 2008): 537–52, <https://doi.org/10.1111/j.1467-9221.2008.00648.x>.

² The Castellum.AI, "Russia Sanctions Dashboard," Castellum.AI, August 15, 2025, <https://www.castellum.ai/russia-sanctions-dashboard>.

encompasses formal strategy papers regarding avoidance (FATF, UK Administration) and remarks from Russian bureaucratic and governmental leaders, which offer immediate understanding of the system's view of exposure and endurance.

This research paper argues that the failure of Western deterrence cannot be explained simply by a lack of severity or irrational leadership. Instead, it posits that the failure was the result of a structural *Credibility-Resilience Mismatch*.

First, from the sender's perspective, the credibility of the Western threat was fatally undermined by internal economic interdependence. As Dale Copeland argues in his Theory of Trade Expectations, high interdependence can fuel conflict if a state fears a future loss of access³. The West's heavy reliance on Russian energy—particularly within the European Union—created a visible reluctance to impose maximum costs. This signaling failure suggested to Moscow that the coalition was fractured and that the most painful sanctions, such as an immediate total energy embargo, were politically impossible⁴. Per Daryl Press's Current Calculus theory, Russia assessed the West's resolve based on these immediate economic constraints rather than past reputations, concluding the threat was hollow (Press 8).

Second, from the target's perspective, Russia's decision to invade was a rational Strategic Calculus based on years of technocratic preparation. Following the initial sanctions of 2014, Russia constructed what observers call a Fortress Economy designed specifically to absorb financial shocks⁵. By amassing vast foreign exchange reserves, developing alternative financial messaging systems like SPFS, and securing trade partners like China⁶, the Kremlin calculated that it possessed sufficient domestic resilience to

³ Dale C Copeland, *Economic Interdependence and War* (Princeton, New Jersey: Princeton University Press, 2015).

⁴ Ronald R. Krebs and Jennifer Spindel, "Divided Priorities: Why and When Allies Differ over Military Intervention," *Security Studies* 27, no. 4 (July 9, 2018): 575–606, <https://doi.org/10.1080/09636412.2018.1483609>.

⁵ Oleg Itskhoki and Elina Ribakova, "The Economics of Sanctions: From Theory into Practice," *Brookings Papers on Economic Activity* 2024, no. 2 (September 2024): 425–97, <https://doi.org/10.1353/eca.2024.a964374>.

⁶ Ibid,

weather the initial storm. Furthermore, the regime utilized elite support ideology to frame potential sanctions not as a penalty, but as an existential struggle, thereby reinforcing internal cohesion rather than fracturing it⁷.

This study asks: To what extent did the design flaws of Western economic sanctions and the target's pre-planned resilience strategies cause the failure of coercive diplomacy in 2022? By tracing the decision-making process from the interventions of 2014 to the invasion of 2022, this research seeks to expose the limits of economic statecraft when applied against a resolute, autarkic power.

Literature Review & Theoretical Framework

To explain the failure of deterrence in 2022, this research synthesizes two distinct bodies of International Relations literature. The first examines the logic of economic coercion from the perspective of the sender, debating the utility of sanctions and the mechanics of modern financial warfare. The second examines the logic of resistance from the perspective of the target, focusing on how leaders calculate credibility and how authoritarian regimes survive external pressure.

A. The Logic of Economic Coercion (Sender-Side)

Coercive Diplomacy and the Sanctions Debate: This study situates the Western threat within the framework of coercive diplomacy. As defined by Alexander George and Jack Levy, coercive diplomacy is a defensive strategy designed to persuade an opponent to stop or undo an aggression. It is distinct from compellence in that it offers a choice: comply and avoid pain, or defy

⁷ Timothy Frye, *Weak Strongman: The Limits of Power in Putin's Russia* (Princeton: Princeton University Press, 2021).

and suffer consequences^{8 9}. Sanctions, in this context, are communicative acts intended to signal resolve.

Scholarly discussion regarding the usefulness of this instrument is deeply divided. The positive outlook of the 1990s, led by Gary Hufbauer, Jeffrey Schott, and Kimberly Elliott, suggested that penalties could succeed if enacted by a wide alliance against a reliant nation¹⁰. They argued that economic pain translates into political pressure, eventually forcing the target government to concede. However, this view faces a robust critique from Robert Pape, who argues that sanctions act as a sledgehammer rather than a scalpel. Pape contends that modern states are highly capable of adjusting to economic deprivation, meaning that sanctions rarely yield major policy concessions on issues of vital national security¹¹. The 2022 deterrence failure suggests that regarding core territorial interests, Pape's pessimism regarding the utility of economic pain remains relevant.

Weaponized Interdependence and Financial Statecraft: In the 21st century, the sanctions debate shifted from trade embargoes to financial statecraft. Juan Zarate describes this as a new era of *Treasury's War*, where the United States leverages its centrality in the global financial system to exclude rogue actors¹². This concept was formalized by Henry Farrell and Abraham Newman as Weaponized Interdependence. They argue that globalization did not create a flat world, but a hierarchical one organized around central node, such as the SWIFT financial messaging system and U.S. dollar clearing houses. States that control these panopticon effects and chokepoints can inflict devastating costs on adversaries with precision¹³. It was this specific logic—the threat

⁸ Jack S. Levy, "Deterrence and Coercive Diplomacy: The Contributions of Alexander George," *Political Psychology* 29, no. 4 (August 2008): 537–52, <https://doi.org/10.1111/j.1467-9221.2008.00648.x>.

⁹ Alexander L George, *Forceful Persuasion : Coercive Diplomacy as an Alternative to War* (Washington, D.C.: United States Institute Of Peace Press, 1991).

¹⁰ Gary Clyde Hufbauer et al., *Economic Sanctions Reconsidered* (Washington, Dc Peterson Institute For International Economics, 2009).

¹¹ Robert A. Pape, "Why Economic Sanctions Do Not Work," *International Security* 22, no. 2 (1997): 90–136, <https://doi.org/10.2307/2539368>.

¹² Juan Zarate, *Treasury's War* (PublicAffairs, 2013).

¹³ Daniel W Drezner, Henry Farrell, and Abraham Newman, *The Uses and Abuses of Weaponized Interdependence* (Washington, Dc: Brookings Institution Press, 2021).

of being unplugged from the global financial architecture—that formed the core of the West's 2022 deterrent threat.

The Interdependence Trap: Nevertheless, the West's dependence on this advantage was weakened by a critical conceptual blind spot. Dale Copeland's Theory of Trade Expectations challenges the liberal assumption that high interdependence automatically promotes peace. Copeland argues that the causal variable is not the current level of trade, but the *future expectation* of trade. If a state expects trade to continue, it remains peaceful. But if a dependent state (like Russia) expects a future cutoff—due to political coercion or structural shifts like the EU energy transition—it may launch a preventive war to secure resources and strategic depth while it still can¹⁴. Thus, the very threat of weaponized interdependence may have accelerated Russia's decision to invade, creating an asymmetric expectations trap where the sender saw a deterrent, but the target saw an existential vulnerability to be escaped.

B. The Logic of Resistance (Target-Side)

Calculus of Credibility Even if the threatened costs were severe, deterrence requires the threat to be believable. The literature on credibility offers competing models. The traditional *Past Actions* theory suggests that credibility is a reputation earned through history; under this view, the West's weak response to the 2014 annexation of Crimea signaled a permanent lack of resolve. However, this research privileges Daryl Press's Current Calculus theory. Press argues that leaders pay little attention to an adversary's past reputation. Instead, they calculate credibility based strictly on the current balance of power and interests¹⁵. Applied to 2022, this suggests Russia discounted the Western threat not just because of 2014, but because of the West's *current* economic vulnerability—specifically, Europe's dependence on Russian gas—which signaled that the West could not afford to impose the total blockade required to stop the invasion.

Authoritarian Resilience and Sanction-Proofing Finally, the framework incorporates the political economy of authoritarian survival. While sanctions aim to generate bottom-up pressure, Timothy Frye and Barbara Geddes argue that personalist autocracies are uniquely insulated.

¹⁴ Dale C Copeland, *Economic Interdependence and War* (Princeton, New Jersey: Princeton University Press, 2015).

¹⁵ Daryl G Press, "Calculating Credibility: How Leaders Assess Military Threats," *Choice Reviews Online* 44, no. 01 (September 1, 2006): 44-060344-0603, <https://doi.org/10.5860/choice.44-0603>.

Through elite support ideology, regimes can frame external economic pressure as a foreign attack, rallying nationalist sentiment¹⁶. Furthermore, dictatorships can employ public opinion control and repression to break the link between economic dissatisfaction and political mobilization¹⁷.

Beyond political survival, modern targets engage in active sanction-proofing. As Nicholas Mulder details in *The Economic Weapon*, the history of sanctions is also a history of resistance. Targeted states learn to reorganize their economies towards autarky, stockpile reserves, and redirect trade to neutral third parties¹⁸. Russia's pre-2022 accumulation of gold and foreign exchange reserves (the fortress economy strategy) exemplifies this logic, transforming the target from a passive victim into an active strategic operator.

Analysis Part I: The Western Deterrence Model

To understand why deterrence failed, one must first analyze the structural flaws within the Western threat itself. The discouraging indication was not a uniform demonstration of determination; instead, it was a fragmented communication weakened by the originator's own financial frailties.

The Design Flaw: Economic Interdependence and the Paradox of Self-Deterrence

The primary failure of the Western deterrence model lay in the tension between the desire to punish Russia and the necessity of preserving European economic stability. This dynamic is best explained by Dale Copeland's *Theory of Trade Expectations*, which posits that high interdependence acts as a restraint only when both sides expect the trade relationship to remain beneficial¹⁹. During 2021 and the start of 2022, the European

¹⁶ Timothy Frye, *Weak Strongman: The Limits of Power in Putin's Russia* (Princeton: Princeton University Press, 2021).

¹⁷ Barbara Geddes, Joseph Wright, and Erica Frantz, "Autocratic Breakdown and Regime Transitions: A New Data Set," *Perspectives on Politics* 12, no. 02 (June 2014): 313–31, <https://doi.org/10.1017/s1537592714000851>.

¹⁸ Nicholas Mulder, *The Economic Weapon: The Rise of Sanctions as a Tool of Modern War* (New Haven: Yale University Press, 2022).

¹⁹ Dale C Copeland, *Economic Interdependence and War* (Princeton, New Jersey: Princeton University Press, 2015).

Union's profound systemic dependence on Russian power supplies converted this interconnection from an instrument of influence into a point of weakness, generating a condition of self-deterrence.

While Western leaders threatened *massive consequences*, the design of the proposed sanctions revealed a critical hesitation: the fear of economic blowback. As Oleg Itskhoki and Elina Ribakova note, the initial sanction packages were meticulously designed with exceptions to ensure the continued flow of Russian oil and gas to Europe²⁰. For example, whilst the United States and United Kingdom were able to prohibit Russian fuel imports owing to their internal reserves, major European nations such as Germany and Italy were unable to do so. Germany's wavering concerning the approval of the Nord Stream 2 conduit emerged as a central aspect of this fragility. By treating the pipeline as a purely commercial project for as long as possible, Berlin signaled that its commercial interests might override its security commitments²¹.

This hesitation sent a clear signal to the Kremlin. According to Daryl Press's *Current Calculus* theory, a target state assesses credibility based on the sender's current capability to impose costs relative to the sender's own tolerance for pain²². The West's visible anxiety about inflation and energy shortages signaled that its pain threshold was low. When Western nations discussed removing Russian banks from the SWIFT messaging system, they explicitly exempted institutions critical to energy payments, such as Gazprombank. This selective targeting confirmed to Moscow that the West was deterred by its own dependence.

Furthermore, this interdependence created an *asymmetric expectations trap*. While Western liberals viewed the energy trade as a tether that would restrain Russian aggression, Russian realists viewed it as a strategic weapon. By calculating that the EU could not

²⁰ Oleg Itskhoki and Elina Ribakova, "The Economics of Sanctions: From Theory into Practice," *Brookings Papers on Economic Activity* 2024, no. 2 (September 2024): 425–97, <https://doi.org/10.1353/eca.2024.a964374>.

²¹ Angela Stent, *Putin's World : Russia against the West and with the Rest* (New York: Twelve, 2019).

²² Daryl G Press, "Calculating Credibility: How Leaders Assess Military Threats," *Choice Reviews Online* 44, no. 01 (September 1, 2006): 44-060344-0603, <https://doi.org/10.5860/choice.44-0603>

survive a sudden energy decoupling, the Kremlin likely assessed that the West's most potent weapon—a total energy embargo—was non-credible²³. Thus, the very interdependence that was meant to prevent war effectively paralyzed the Western response, convincing Russia that it could launch an invasion without facing the full weight of economic statecraft.

The Political Flaw: Alliance Fragmentation and Inconsistent Signaling

Following the analysis of economic interdependence, the second structural failure of the Western deterrent lies in the political realm. For coercive diplomacy to succeed, the signaling coalition must project a unified intent. However, the Western response in late 2021 and early 2022 was characterized by fragmentation and mixed messaging.

Beyond the economic constraints of energy, the credibility of the Western deterrent was eroded by what Ronald Krebs and Jennifer Spindel term *Divided Priorities*. Their framework suggests that allies frequently diverge over the necessity and scope of intervention due to differing threat perceptions and domestic political costs²⁴. In the months leading up to the invasion, this divergence created a disjointed signal that obscured the West's red lines. Although the United States and the United Kingdom participated in loud, proactive prevention—broadcasting gathered data and warning of enormous repercussions—major mainland nations took a more appeasing stance. France's independent diplomatic overtures, driven by President Macron's desire for a separate European security architecture, and Germany's reluctance to supply lethal aid, indicated to Moscow that the NATO coalition was not functioning as a single entity²⁵.

²³ Randall Newnham, "Oil, Carrots, and Sticks: Russia's Energy Resources as a Foreign Policy Tool," *Journal of Eurasian Studies* 2, no. 2 (July 1, 2011): 134–43, <https://doi.org/10.1016/j.euras.2011.03.004>.

²⁴ Ronald R. Krebs and Jennifer Spindel, "Divided Priorities: Why and When Allies Differ over Military Intervention," *Security Studies* 27, no. 4 (July 9, 2018): 575–606, <https://doi.org/10.1080/09636412.2018.1483609>.

²⁵ Bettina Renz, "Was the Russian Invasion of Ukraine a Failure of Western Deterrence?," *The US Army War College Quarterly: Parameters* 53, no. 4 (November 20, 2023), <https://doi.org/10.55540/0031-1723.3256>.

This fragmentation was compounded by the ambiguity of institutional commitment. The Western response relied heavily on the concept of *Western International Politics* and the Rule-based Order, yet the specific mechanism of defense remained unclear. As noted in the flowchart's Deterrence Model, the West operated under Article 4 of the NATO treaty (consultation) rather than Article 5 (collective defense), as Ukraine is not a member state. This legal distinction created a gray zone of commitment. By explicitly ruling out direct military intervention (Article 5 guarantees) while simultaneously threatening vague economic punishment, Western leaders created a commitment gap. Jack Levy argues that coercive diplomacy fails when the threat is not sufficiently potent to overcome the target's motivation²⁶. By taking the military option off the table to maintain alliance cohesion, the West inadvertently lowered the perceived cost of aggression to a manageable level.

Furthermore, the lingering effects of *Trump Uncertainty* continued to plague alliance cohesion. Although the Biden administration sought to revitalize multilateralism, the previous four years had exposed deep structural fissures within the trans-Atlantic relationship. From a realist perspective, as articulated by John Mearsheimer, great powers act on the basis of hard security guarantees, not institutional rhetoric²⁷. The perception of a politically polarized America and a strategically autonomous Europe likely suggested to the Kremlin that *Multilateral Support* for long-term sanctions would be fragile and prone to collapse under economic stress. Consequently, Moscow construed the discord of Western diplomatic voices not as a subtle tactic of two-pronged negotiation, but as an indication of frailty and hesitation—an Appeasement Mindset that encouraged rather than prevented deterred revisionism.

The Credibility Crisis: Historical Precedent and the Trap of Cheap Talk

The final component of the sender-side failure was the erosion of credibility through historical precedent. While Daryl Press's *Current Calculus* theory suggests that

²⁶ Jack S. Levy, "Deterrence and Coercive Diplomacy: The Contributions of Alexander George," *Political Psychology* 29, no. 4 (August 2008): 537–52, <https://doi.org/10.1111/j.1467-9221.2008.00648.x>.

²⁷ John Mearsheimer, *The Tragedy of Great Power Politics* (New York: W.W. Norton & Company, 2001), 77–89, <https://samuelbhfaure.com/wp-content/uploads/2015/10/s2-mearsheimer-2001.pdf>.

leaders prioritize present capabilities over past reputation, the specific history of Western responses to Russian aggression created a baseline expectation of weakness²⁸. The West's response to the 2014 annexation of Crimea and the subsequent war in the Donbas established a pattern of what Ben Connable terms *pace-failed intervention*²⁹.

In 2014, the West imposed sanctions that were targeted and gradual, explicitly avoiding the "nuclear option" of SWIFT disconnection or energy embargoes to prevent collateral economic damage. Over the subsequent eight years, despite continued Russian aggression in the gray zone, major cooperative projects such as the Nord Stream 2 pipeline continued to advance. This contradiction—imposing sanctions while simultaneously deepening energy infrastructure ties—signaled to the Kremlin that Western commercial interests would ultimately override security commitments³⁰.

This history created a credibility trap. When Western leaders issued *unprecedented warnings* in late 2021, the threats were interpreted against the backdrop of this prior leniency. Moscow likely viewed the new threats as a continuation of *coercive diplomacy* characterized by cheap talk—rhetorically severe but operationally constrained³¹. By failing to enforce a red line in 2014, the West inadvertently validated Russia's salami-slicing strategy, leading the Kremlin to calculate that the costs of a new invasion would be similarly manageable and temporary.

In summary, the Western deterrence model failed not because the threatened sanctions were insufficient on paper, but because the threat was delivered by a sender that was economically self-deterred, politically fragmented, and historically compromised.

²⁸ Daryl G Press, "Calculating Credibility: How Leaders Assess Military Threats," *Choice Reviews Online* 44, no. 01 (September 1, 2006): 44-060344-0603, <https://doi.org/10.5860/choice.44-0603>.

²⁹ Ben Connable et al., "Russia's Hostile Measures: Combating Russian Gray Zone Aggression against NATO in the Contact, Blunt, and Surge Layers of Competition," *www.rand.org*, January 7, 2020, https://www.rand.org/pubs/research_reports/RR2539.html.

³⁰ Bettina Renz, "Was the Russian Invasion of Ukraine a Failure of Western Deterrence?," *The US Army War College Quarterly: Parameters* 53, no. 4 (November 20, 2023), <https://doi.org/10.55540/0031-1723.3256>.

³¹ Jack S. Levy, "Deterrence and Coercive Diplomacy: The Contributions of Alexander George," *Political Psychology* 29, no. 4 (August 2008): 537–52, <https://doi.org/10.1111/j.1467-9221.2008.00648.x>.

Analysis Part II: The Russian Decision-Making Flow (The Counter-Calculus)

While the Western deterrence model was failing due to internal fragmentation, the Russian decision-making process was characterized by a high degree of strategic coherence regarding economic survival. This section argues that the Kremlin's decision to invade was not an act of economic suicide, but a calculated risk based on a pre-planned strategy of *counter-sanction resilience*.

The Technocratic Shield: Financial Insulation and Evasion Infrastructure

The first pillar of Russia's counter-calculus was the construction of a *Fortress Economy* designed to neutralize the specific financial weapons the West was threatening. Following the 2014 sanctions, Russian technocrats, led by Central Bank Governor Elvira Nabiullina, prioritized macroeconomic stability over growth. By early 2022, Russia had amassed over \$630 billion in foreign exchange reserves, a fiscal buffer intended to insulate the regime from the immediate shock of external severing³². This massive accumulation signaled a deliberate strategy to sanction-proof the state's balance sheet, allowing the leadership to calculate that it could survive a prolonged period of autarky.

Furthermore, Russia actively prepared technical alternatives to Western financial architecture. Recognizing that a disconnection from SWIFT was the "nuclear option" in the Western arsenal, the Central Bank developed the *System for Transfer of Financial Messages* (SPFS) in 2014 ("Russia and sanctions evasion" vii)³³. While SPFS lacked the global reach of SWIFT, its existence provided a domestic safety net that ensured internal interbank payments would not freeze, thereby preventing the kind of systemic collapse that

³² Oleg Itskhoki and Elina Ribakova, "The Economics of Sanctions: From Theory into Practice," *Brookings Papers on Economic Activity* 2024, no. 2 (September 2024): 425–97, <https://doi.org/10.1353/eca.2024.a964374>.

³³ Financial Action Task Force, "Complex Proliferation Financing and Sanctions Evasion Schemes," June 2025, <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Complex-PF-Sanctions-Evasions-Schemes.pdf.coredownload.inline.pdf>.

might force a political capitulation³⁴. This preparation allowed the Kremlin to discount the threat of financial isolation as a manageable operational cost rather than an existential crisis.

Beyond financial defenses, the Russian calculus relied on a robust infrastructure of evasion to bypass trade embargoes. Anticipating Western export controls on critical technology and dual-use goods, Russian strategy integrated what Elina Ribakova terms *Black Knight* networks—friendly or neutral states willing to facilitate trade circumvention³⁵. Drawing on lessons from the *Iran sanction evasion study*, Moscow established complex supply chains involving *Third-Country Transshipment* through nations in Central Asia, the Caucasus, and China (FATF). These networks utilized techniques such as creating shell companies, falsifying shipping documents to disguise the origin of goods, and using the shadow fleet for oil exports³⁶. By securing these alternative logistical arteries in advance, Russian decision-makers likely assessed that Western efforts to physically blockade the Russian economy would fail, rendering the threat of trade isolation non-credible.

The Ideological Fortress: Elite Cohesion and the War Economy

While financial insulation provided the technical means to resist sanctions, the political stability of the Russian regime depended on maintaining the loyalty of the ruling coalition. Conventional sanctions theory suggests that economic pressure should fracture the target's elite, creating a split between the leader and the business class who bear the costs of isolation. However, the Russian decision-making flow in 2022 defied this expectation due to the construction of an *Ideological Fortress*.

³⁴ “Russia and Sanctions Evasion,” *Strategic Comments* 28, no. 4 (April 21, 2022): vii–ix, <https://doi.org/10.1080/13567888.2022.2107283>.

³⁵ Elina Ribakova, “China-Russia Cooperation: Economic Linkages and Sanctions Evasion,” *Intereconomics* 60, no. 2 (March 1, 2025): 135–36, <https://doi.org/10.2478/ie-2025-0025>.

³⁶ United Kingdom Government, “Countering Russian Sanctions Evasion - Guidance for Exporters,” GOV.UK, January 7, 2025, <https://www.gov.uk/government/publications/countering-russian-sanctions-evasion-and-circumvention/countering-russian-sanctions-evasion-guidance-for-exporters>.

The Kremlin successfully preempted elite defection by framing the impending conflict not as a discretionary foreign policy choice, but as an existential defensive struggle against the West. Marlene Laruelle argues that the regime constructed a powerful *Elite Support Ideology* centered on the concept of Russia as a besieged fortress protecting traditional values against a hostile, decadent West³⁷. This ideological narrative served a critical strategic function: it redefined the potential costs of sanctions. Instead of being regarded as retributions for distinct acts that might be overturned through strategic adjustment, restrictions were characterized as unavoidable weapons of Western belligerence intended to ruin the Russian nation irrespective of its conduct. This perspective persuaded prominent leaders that adherence to Occidental mandates would not result in respite, but in countrywide shame and administration downfall³⁸.

Furthermore, the state leveraged the structure of the *Domestic War Economy* to enforce loyalty. As Timothy Frye notes in *Weak Strongman*, personalist autocracies like Putin's Russia utilize a combination of repression and co-optation to manage elites³⁹. In the lead-up to the invasion, the Kremlin signaled that the era of offshore aristocracy was ending. By effectively nationalizing the costs of conflict, the state offered elites a stark binary choice: unconditional loyalty to the special military operation or the loss of all assets and status. Sharon Werning Rivera's analysis of Russian elite attitudes reveals a consolidation of anti-Western sentiment and a fatalistic acceptance of the conflict, indicating that the threat of sanctions actually solidified the siege mentality rather than creating fissures for Western leverage to exploit⁴⁰. Thus, the Strategic Calculus for invasion

³⁷ Marlène Laruelle, "Russia's Ideological Construction in the Context of the War in Ukraine," 2021, <https://www.defense.gouv.fr/sites/default/files/dgris/Etude%20de%20fond%20n%C2%B010%20-%20Russia%E2%80%99s%20ideological%20construction%20in%20the%20context%20of%20the%20war%20in%20Ukraine.pdf>.

³⁸ Radnitz Scoot, "Conspiracy Theories and Russia's Invasion of Ukraine," *Russian Analytical Digest* 299 (2023): 11–14, <https://www.research-collection.ethz.ch/entities/publication/7f5b38d7-7ae0-4b53-80c1-207f278f6d7e>.

³⁹ Timothy Frye, *Weak Strongman: The Limits of Power in Putin's Russia* (Princeton: Princeton University Press, 2021), 85–92.

⁴⁰ Werning Rivera Sharon, "The Views of Russian Elites on Military Intervention Abroad," *Russian Analytical Digest* 299 (2023): 2–7.

was bolstered by a unified elite ready to endure isolation as the necessary price of sovereignty.

The Political Buffer: Public Opinion Control and the Backlash Effect

The final component of the Russian counter-calculus addressed the ultimate target of economic statecraft: the general population. The theoretical logic of sanctions relies on a transmission mechanism where economic pain inflicted on the citizenry translates into political pressure on the government to change course. However, the Russian decision-making flow in 2022 operated on the assumption that this transmission mechanism could be severed through Public Opinion Control and the manipulation of nationalist sentiment.

The Kremlin's strategy relied on what scholars term the *backlash effect*, where external pressure increases rather than decreases support for the targeted regime. Scott Radnitz argues that the Russian state had spent years cultivating a narrative landscape primed for this reaction. By propagating conspiracy theories that framed Western actions as part of a long-term, clandestine plot to destroy Russia, the regime ensured that any future sanctions would be interpreted not as punishment for the invasion of Ukraine, but as proof of the West's pre-existing malevolence⁴¹. Consequently, when Western leaders threatened massive consequences, Russian strategists likely calculated that the resulting economic hardship could be successfully transferred into popular anger against the West, rather than against the Kremlin.

This ideological framing was reinforced by the coercive apparatus of the authoritarian state. Barbara Geddes and her colleagues note that personalist regimes are particularly resilient because they can effectively monopolize the information space and raise the cost of collective action⁴². In the lead-up to the invasion, the Russian state

⁴¹ Radnitz Scoot, "Conspiracy Theories and Russia's Invasion of Ukraine," *Russian Analytical Digest* 299 (2023): 11–14, <https://www.research-collection.ethz.ch/entities/publication/7f5b38d7-7ae0-4b53-80c1-207f278f6d7e>.

⁴² Barbara Geddes, Joseph Wright, and Erica Frantz, "Autocratic Breakdown and Regime Transitions: A New Data Set," *Perspectives on Politics* 12, no. 02 (June 2014): 313–31, <https://doi.org/10.1017/s1537592714000851>.

systematically dismantled independent media and civil society, creating a closed information environment. This allowed the leadership to act with the confidence that it could define the reality of the war and the economy for the majority of the population. The Domestic War Economy was thus not only a system of production but a system of social mobilization, where economic sacrifice was reframed as patriotic duty.

Therefore, the Russian Strategic Calculus prior to February 2022 was defined by a convergence of three protective layers: a technocratic shield that protected the financial system, an ideological fortress that secured elite loyalty, and a political buffer that converted economic sanctions into nationalist rallying cries. Viewed through this lens, the decision to invade was not a reckless gamble, but a choice made by a regime that believed it had successfully immunized itself against the West's primary weapon.

Conclusion & Contribution

The failure of Western deterrence in February 2022 was not merely a diplomatic miscalculation or the result of irrational leadership in Moscow. It was the rational result of a systemic disparity between the originator's forceful purpose and the objective's ability for opposition. This research argued that the weaponization of economic interdependence, while theoretically potent, failed to prevent war because the threat was simultaneously weakened by the sender's self-deterrence and discounted by the target's pre-planned resilience.

Synthesis of Findings

The evidence presented in this research demonstrates that the Western deterrence model was fatally compromised by its own design. By excluding the power industry from preliminary penalties to safeguard European markets, Western chiefs indicated that their endurance for financial distress was minimal. This reluctance, motivated by internal political limitations, validated Daryl Press's hypothesis of Current Calculus: the Kremlin

evaluated believability grounded on the West's instant financial exposure instead of its verbal harshness⁴³.

Concurrently, the Russian logic of resistance proved robust. The regime's strategic calculus was underpinned by a technocratic shield of financial insulation—exemplified by the accumulation of vast foreign reserves and the development of the SPFS financial messaging system—and an ideological fortress that secured elite loyalty⁴⁴. By successfully constructing a fortress economy and activating evasion networks via friendly third-party partners, Russia effectively neutralized the perceived cost of the threatened sanctions⁴⁵. Consequently, the decision to invade was a rational act within the Kremlin's frame of reference: the costs of aggression were deemed manageable, while the strategic benefits of revising the status quo were viewed as existential.

Theoretical Contribution

This research contributes to the academic debate on economic statecraft and international security in three distinct ways.

First, it refines the application of Interdependence Theory to modern conflict. Traditional liberal theories argue that high economic interdependence promotes peace by raising the costs of war. However, this project applies to Dale Copeland's *Theory of Trade Expectations* to demonstrate how interdependence can paradoxically accelerate conflict. In 2022, the West viewed its economic leverage as a restraint, assuming that the threat of severing trade ties would deter aggression. Conversely, Russia viewed this same dependence through a realist lens, seeing it not as a benefit but as a strategic vulnerability

⁴³ Daryl G Press, "Calculating Credibility: How Leaders Assess Military Threats," *Choice Reviews Online* 44, no. 01 (September 1, 2006): 44-060344-0603, <https://doi.org/10.5860/choice.44-0603>.

⁴⁴ Marlène Laruelle, "Russia's Ideological Construction in the Context of the War in Ukraine," 2021, <https://www.defense.gouv.fr/sites/default/files/dgris/Etude%20de%20fond%20n%C2%B010%20-%20Russie%E2%80%99s%20ideologique%20construction%20in%20the%20context%20of%20the%20war%20in%20Ukraine.pdf>.

⁴⁵ Elina Ribakova, "China-Russia Cooperation: Economic Linkages and Sanctions Evasion," *Intereconomics* 60, no. 2 (March 1, 2025): 135–36, <https://doi.org/10.2478/ie-2025-0025>.

that the West could exploit to strangle its economy over time⁴⁶. This created an *asymmetric expectations trap*: the Western threat of weaponized interdependence did not deter Russia, but rather confirmed its fear of future decline, thereby incentivizing a preventive war to secure strategic depth and resources before the economic noose could tighten further.

Second, this study shifts the analytical focus of Credibility Theory from the sender's reputation to the target's resilience. Much of the existing literature focuses on the sender's past actions, arguing that the weak Western response to the 2014 annexation of Crimea shattered its credibility⁴⁷. While this study acknowledges the role of history, it argues that credibility is primarily a function of the target's current capacity to absorb pain. By introducing the concept of *sanction-proofing* as a central variable in deterrence calculus, this research suggests that the efficacy of coercive diplomacy is determined less by the severity of the threat and more by the target's technocratic preparation. A threat that appears overwhelming to a globalized democracy may appear negligible to an autarkic authoritarian regime that has decoupled its elite survival from the global market⁴⁸.

Third, this research paper offers a holistic model of deterrence failure. Previous studies have often analyzed sanctions separately from alliance politics or regime type. This research integrates these fields into a single causal chain. It links Western domestic politics—specifically the electoral sensitivity to inflation and energy prices—directly to the weakness of the international deterrent signal. It then connects this weak signal to the authoritarian backlash effect, explaining how the Russian regime converted external pressure into internal nationalist mobilization⁴⁹. This integrated model provides a more

⁴⁶ Dale C Copeland, *Economic Interdependence and War* (Princeton, New Jersey: Princeton University Press, 2015).

⁴⁷ Ben Connable et al., "Russia's Hostile Measures: Combating Russian Gray Zone Aggression against NATO in the Contact, Blunt, and Surge Layers of Competition," [www.rand.org](https://www.rand.org/pubs/research_reports/RR2539.html), January 7, 2020, https://www.rand.org/pubs/research_reports/RR2539.html.

⁴⁸ Timothy Frye, *Weak Strongman: The Limits of Power in Putin's Russia* (Princeton: Princeton University Press, 2021), 85–92.

⁴⁹ Radnitz Scoot, "Conspiracy Theories and Russia's Invasion of Ukraine," *Russian Analytical Digest* 299 (2023): 11–14, <https://www.research-collection.ethz.ch/entities/publication/7f5b38d7-7ae0-4b53-80c1-207f278f6d7e>.

comprehensive explanation for why the deterrence signal was lost in translation, filtered out by the sender's hesitation and the receiver's ideological insulation.

Policy Implication

From a Realist perspective, the failure of deterrence in 2022 necessitates a paradigm shift in Western grand strategy: a transition from efficiency-first globalization to security-first chain sovereignty. As Jason Bordoff and Meghan O'Sullivan argue, the global market can no longer be viewed as apolitical; rather, the return of the energy weapon implies that deep integration with revisionist powers creates not mutual restraint, but weaponized vulnerability⁵⁰. Consequently, future economic statecraft shall prioritize the friend-shoring of critical industries—specifically energy and dual-use technologies—to politically reliable jurisdictions.

This requires elevating trade pacts like the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) from commercial agreements to geoeconomic defensive alliances. By actively redirecting supply chains toward trusted partners and away from systemic rivals, Western countries can dismantle the asymmetric expectations trap that plagued the 2022 crisis. This structural decoupling involves accepting higher marginal costs in exchange for strategic autonomy, effectively replacing the market's just-in-time logic with security-based just-in-case architecture. Ultimately, systematically reducing economic interdependence with Russia is not merely a punitive measure, but a prerequisite for restoring credible deterrence.

Implications for Future Research

The implications of this study extend beyond the Russia-Ukraine war. The failure of the financial nuclear option to deter a G20 power suggests that the utility of economic statecraft as a substitute for military force is more limited than previously understood. In an era of great power competition, where potential adversaries like China are actively

⁵⁰ Jason Bordoff and Meghan L O'Sullivan, "The Return of the Energy Weapon," *Foreign Affairs*, October 21, 2025, <https://www.foreignaffairs.com/united-states/return-energy-weapon-bordoff-osullivan>.

observing and replicating sanction-proofing strategies, the reliance on weaponized interdependence may yield diminishing returns.

If determined revisionist states can construct fortress economies that lower the cost of aggression below the threshold of Western pain tolerance, then the future of deterrence may require a fundamental reassessment of the balance between economic coercion and hard power denial. This research emphasizes that financial restrictions are not a separate substitute for combat, but a constituent of hostilities that destinations are progressively mastering to vanquish. Future scholarship must therefore focus not just on how to design smarter sanctions, but on how to overcome the structural resilience of authoritarian regimes that have immunized themselves against the logic of global markets.

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